

## GY457 Autumn Term 2025 (Seminar Topic 2)

Lecturer: *Dr Sara Bagagli*

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### Context<sup>1</sup>

This seminar provides an opportunity to dive deep into the origins of the idea of the impact of density on productivity and elaborates on the ‘empirics of density’ presented in Topic 2. The purpose of the seminar is to provide an opportunity to track the development of the idea of how density affects productivity starting from the very first papers that reported this relationship and attempted to explain it. In addition, since this is one of the very first seminars, the objective is to familiarise students with applying the key terminology used by urban economist.

### “Homework” to be carried out prior to the seminar

Students are expected to self-study the two readings (Ciccone and Hall 1996 and Krugman 1991) and pay particular attention to the points listed below. **All students must be prepared to answer the questions during the seminar. It is recommended that they prepare some notes.** However, no submission of written answers is expected.

[Krugman, Paul R. \*Geography and Trade\*. Chapter 2, MIT press, 1991.](#)

- 1) The three reasons for localization
- 2) The importance of increasing returns.
- 3) Figures 2.1 and Figures 2.3 and their rationale.
- 4) Krugman’s expectation of why economic activity clusters.
- 5) The prediction of where would clustering occur and why.
- 6) Measures of clustering and Gini coefficients.
- 7) How do the results and theories apply to your/team member’s hometowns?

[Ciccone, Antonio and Hall, Robert E. “Productivity and the Density of Economic Activity.” \*The American Economic Review\*, 86, no.1 \(1996\): 54 – 70](#)

- 8) The three density effects and the two models proposed in the paper.
- 9) The explanation of differences between densities across cities.
- 10) The challenges of measuring density outlined.
- 11) The problems of identifying the impact of density on productivity.
- 12) The use of an instrumental variable to address those problems.

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<sup>1</sup> The seminar was originally designed by Prof. Ahlfeldt and is kindly used with permission.

13) How do the results and theories apply to your/team members' hometowns?

Both readings are relatively dense so to make sure that students have an incentive to read them carefully, a crossword puzzle with some key points from the readings is available on Moodle. Completing it is optional and it is an opportunity to self-test the understanding of the key phrases used by urban economists.

**Presenters**, in addition, are expected to prepare slides for a joint presentation of both readings (in each seminar, both papers will be presented and discussed). In doing so, they may split the tasks or work together on all tasks as they prefer (the latter is the recommended option). **The presentation should explain the key ideas from the readings as well as its theoretical and empirical contribution(s), research methods and findings.** Each paper should be presented in no longer than 30 minutes.

### **During the seminar**

After an introduction, students will come up with a list of one sentence answer/statement corresponding to each of the above bullet points (points 1-13). The answers will be written down by each student to have a record of what answers they started the seminar with. During the presentation, students will check their answers against the presenters' answers.

The presenters will walk the group through the two readings during an "interactive" presentation. All presenters should carry an approximately similar weight in the presentation. During the presentation, it is expected that the presenters "engage" with the audience, i.e., prompt the audience to suggest comments and answers.

After the presentation, the students will be divided in two groups and each group will come up with a question (one per paper) to ask the presenters for the Q&A session.

The audience is expected to challenge the content provided by the presenters and is allowed to ask questions (questions can steer the presenters towards certain answers). The teacher will monitor the presentation and the discussion and intervene if appropriate.

The presenters are expected to make notes during the discussion in case corrections to their suggested answers are due. After the presentation, we may move on to 1) more general discussion of how convincing the evidence for the fact that density affects productivity is; 2) asking non-presenters to share how the theories relate to their hometowns. Different cities may experience different changes; and 3) identifying the list of phrases and answers to the crossword puzzle.

### **After the seminar**

If indicated by the feedback during the seminar, presenters will revise their presentation. They will then ask the instructor to upload it onto the GY457 Moodle page. Please, use the following filenames to save your presentations: Topic\_2\_Group\_X, where X indicates the seminar group.

The winning list of phrases and answers to the crossword puzzle will also be uploaded on Moodle.